Category
Fixed-Income Securitization

Related Questions:
Practice questions related to this topic

THE SECURITIZATION PROCESS

Learning Outcome

- describe securitization, including the parties and the roles they play

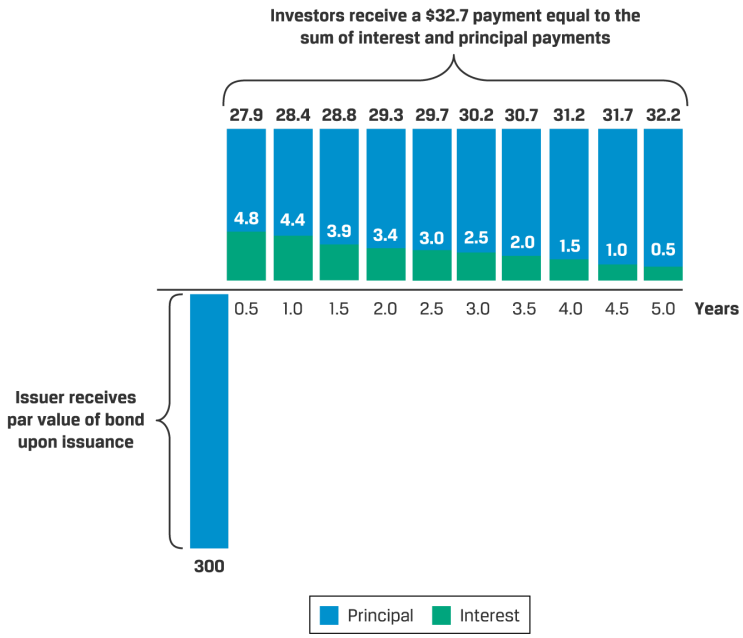
Securitization requires that several legal and regulatory conditions are satisfied and involves multiple parties to facilitate the transaction and ensure that these conditions are met. This section describes a typical securitization process, the parties, and their roles.

An Example of a Securitization

Let's revisit Bright Wheel Automotive (BRWA), the hypothetical car manufacturer introduced earlier. BRWA's financing company subsidiary provides loans to BRWA customers with the vehicles serving as collateral. These fixed-rate loans represent an asset to the company with maturities averaging four years. They are fully amortizing with the principal repaid in 48 monthly payments (12 months × 4 years). The borrowers make equal payments each month consisting of interest payment and principal repayment, as shown in Exhibit 5.

Exhibit 5:

Bright Wheel Automotive Securitization



▶ Expand / collapse Extended Description

BRWA's financing subsidiary decides whether to extend credit to customers, and it also services the loans. Loan servicing refers to administering any aspect of a loan, including collecting payments from borrowers, notifying borrowers who may be delinquent, and recovering and disposing of a vehicle if the borrower does not make the payments as scheduled. If a customer defaults, BRWA can seize the car and sell it to recoup the remaining principal on the loan. The role of the servicer can vary: In this example, the issuer continues to service the loan, but at other times, the servicing may be provided by another entity.

to a hypothetical SPE named Car Loan Trust (CLT), which then uses the loans as collateral for ABS it issues.

Exhibit 6:

Notes Issued by Car Loan Trust Collateralized by Car Loans – Brief Summary of Terms

Four-Year Asset-Backed Notes — Car Loan Trust	
Issuer:	Car Loan Trust (CLT), a special purpose entity.
Underlying Assets/Collateral:	Portfolio of loans by which new cars and vehicles are financed.
Description:	Car finance receivables originated by Bright Wheel Automotive (BRWA), sold by BRWA to CLT, purchased by CLT, and fully transferred from BRWA to CLT. There are 45,000 loans in the outstanding pool, with an average balance of EUR22,222.
Outstanding Principal Balance of the Pool:	EUR1,000 million
Settlement Date:	[T + 3 Business Days]
Maturity Date:	[Four Years from Settlement Date]
Security:	The Notes are secured obligations of CLT.
Business Days:	Frankfurt.

Assume that BRWA wants to raise EUR1,000 million and faces two choices. One is to issue a four-year corporate bond; the other is to issue an ABS backed by the car loans. BRWA seeks to achieve the lowest possible interest rate relative to its benchmark interest rate, where the difference is the credit spread.

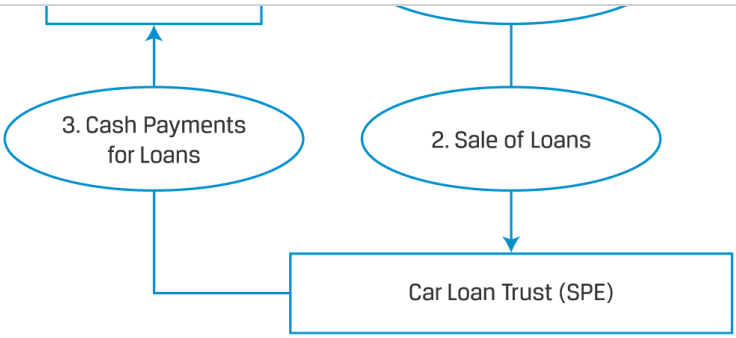
Unlike banks and finance companies, car manufacturers are more capital-intensive. Tying up capital on their balance sheet to finance car purchases may be a suboptimal use of their capital. Selling off loans frees up capital and recognizes profits that can finance the core business.

First, BRWA sets up a separate legal entity called Car Loan Trust (CLT), a **special purpose entity (SPE)**, sometimes also called a special purpose vehicle (SPV) or a special purpose company, to which it sells the EUR1,000 million worth of car loans. CLT, a legally independent and bankruptcy-remote entity from BRWA, acquires these loans from BRWA and becomes the ultimate owner of the loans. The separate legal entity structure ensures that if BRWA, the originator of the loans, files for bankruptcy, the loans backing the ABS that are issued by BRWA are secure within CLT, the SPE, and BRWA's creditors cannot have any claim on them. Creating the required separate and bankruptcy-remote legal structures for the SPE and fully transferring the loans from the issuer to the SPE can be a complicated process that varies across jurisdictions.

Exhibit 7 reflects BRWA's business: (1) selling cars financed by loans, (2) BRWA sells to CLT EUR1,000 million worth of car loans, and (3) BRWA receives from CLT EUR1,000 million in cash.

Exhibit 7:

Setting up the Securitized Pool



▶ Expand / collapse Extended Description

Category
Fixed-Income Securitization

Related Questions:
Practice questions related to this topic

Exhibit 8 shows how CLT then (4) issues and sells securities that are backed by the pool of securitized loans and (5) receives cash from investors. These securities are the ABS mentioned earlier with the EUR1,000 million in car loans representing the collateral.

Exhibit 8:

Issuing the ABS

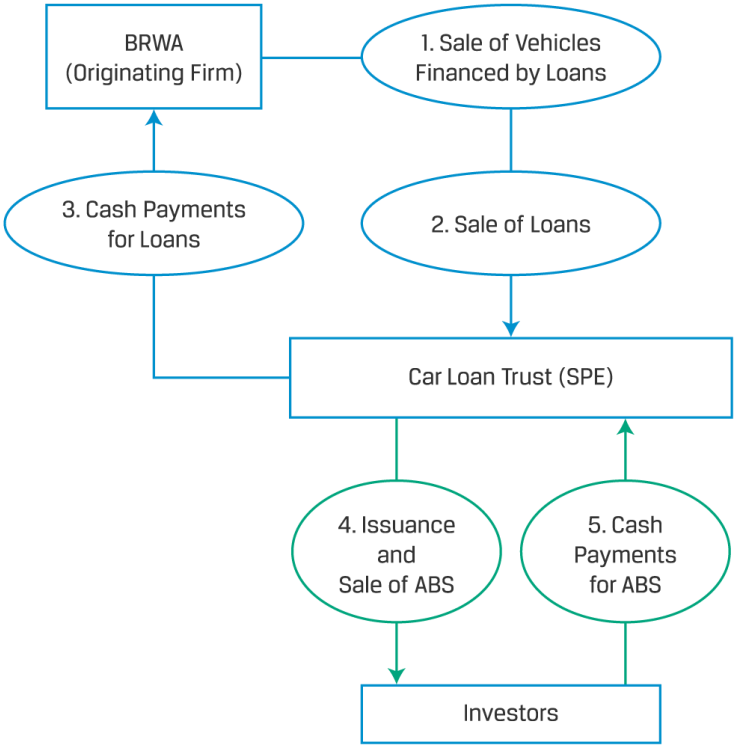
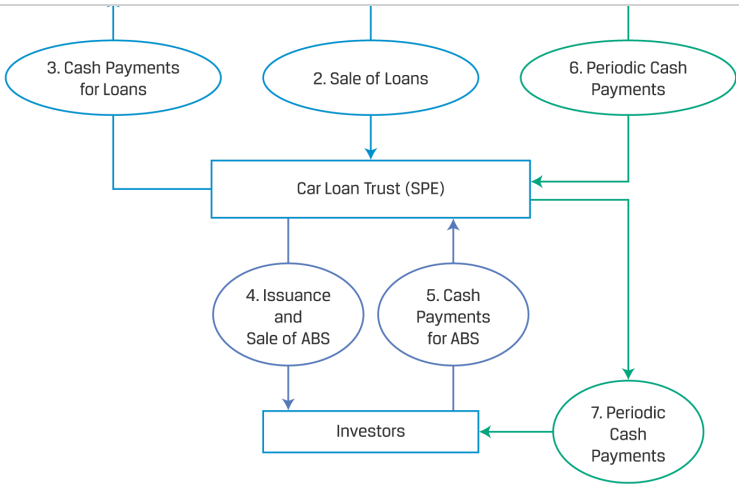


Exhibit 9 shows (6) how the monthly payments made by BRWA's customers, which include both interest payment and principal repayment, go to the special purpose entity CLT, which then (7) directs the agreed periodic cash payments to the investors in the ABS. Exhibit 9 also summarizes the full set of steps in a typical securitization. It shows the parts played by all parties, including the company wanting to securitize its assets, the issuer (SPE), as well as customers and investors.

Exhibit 9:

Periodic Payments on the ABS



▶ Expand / collapse Extended Description

Parties to a Securitization

The three main parties to a securitization are:

- the *seller* of the collateral, sometimes called the depositor (BRWA in our example);
- the *SPE* that purchases the loans or receivables and uses them as collateral to issue the ABS, CLT in our example (the SPE is often referred to as the issuer in the prospectus because it is the entity that issues the securities); and
- the *servicer* of the loans (BRWA's financing subsidiary in our example).

Other parties, such as independent accountants, lawyers/attorneys, trustees, underwriters, rating agencies, and sometimes financial guarantors, are also involved in these transactions. Since these parties are different from the seller of the collateral, they are referred to as third parties to the securitization.

Besides the standard bond indenture and its covenants, two additional legal documents play an important role in the securitization process. One is the **purchase agreement** between the seller of the collateral (the original lender) and the SPE, which outlines the representations and warranties that the seller makes about the assets sold. These representations and warranties assure investors about the quality of the assets, an important consideration when assessing the risks associated with the ABS. The other is the **prospectus**, which describes the structure of the securitization, including the priority and amount of payments to be made to the servicer, administrators, and the ABS holders, as well as the credit enhancements used in the securitization.

A trustee or trustee agent is known as a "disinterested trustee" and is typically a financial institution that safeguards the assets after they have been sold to the SPE, holds the funds due to the ABS holders until they are paid, and provides periodic cash flow reports to ABS holders as agreed to in the terms of the prospectus. These reports are the only source of information for investors to update the credit standing of the ABS.

The Role of the SPE

The legal protection the SPE creates for the originator or issuer and the investors in an ABS transaction plays a pivotal role in securitization. Without an SPE, securitizations would not be possible. Securitization can be a cheaper way to raise funds than a corporate bond issue secured by the same collateral because the SPE is not affected by the bankruptcy of the seller of the collateral.

In a securitization, the courts in most jurisdictions have no discretion to change seniority because the bankruptcy of the originating company does not affect the SPE. Hence removing assets from the balance sheet into an SPE is an important decoupling of the credit risk of the entity needing funds from the SPE and the bond classes issued by it. This

included in the SPE default on their loans. The SPE's ability to make cash payments to the security holders remains intact if the borrowers make the interest payments and/or the principal repayments on their loans.

In many countries, the creditors are protected in the recognition of the securitization as a true sale, where all rights of the lender are irrevocably, unqualifiedly, and fully transferred to the SPE according to the laws of the jurisdiction. The SPE has full legal ownership of the securitized assets, which are de-recognized from the seller's balance sheet. Note that it is possible that transfers made to bankruptcy-remote vehicles, such as an SPE, can be challenged as fraudulent transactions or conveyances in court and if so determined, potentially unwound.

It is also important to note that not all countries have the same legal framework. Impediments with respect to ABS issuance have arisen in some countries where the concept of trust law is less well developed. Thus, investors should evaluate the legal considerations that apply in the jurisdictions where they purchase ABS.

Question Set

Questions 1 to 4 are based on the following example:

Ahbaling Industries (Ahbaling), a manufacturer of industrial machine tools based in Johor, Malaysia, has SGD500 million of corporate bonds outstanding. These bonds have a credit rating below investment grade. Ahbaling has SGD400 million of receivables on its balance sheet that it would like to securitize. The receivables represent payments Ahbaling expects to receive for machine tools it has sold to various customers in Europe. Ahbaling's finance subsidiary sells the receivables to Ahbaling Trust, an SPE. Ahbaling Trust then issues ABS, backed by the pool of receivables, with the following structure:

Bond Class	Par Value (SGD millions)
A (senior)	280
B (subordinated)	60
C (subordinated)	60
Total	400

1. Identify the correct order for the following steps related to securitizing receivables of Ahbaling Industries:

	A. Investors buy securities based on their preferred level of risk and return.
	B. Ahbaling pools SGD400 million in receivables.
	C. Ahbaling sells machine tools on credit.
	D. ABS are issued.
	E. Segregated receivables are sold to Ahbaling Trust.

Hide Solution

Solution

Step 1	C. Ahbaling sells machine tools on credit.
Step 2	B. Ahbaling pools SGD400 million in receivables.
Step 3	E. Segregated receivables are sold to Ahbaling Trust.

Rate Your Confidence

2. If Ahbaling Industries issues SGD400 million in corporate bonds one year from now:

A. the new bonds will be senior to the ABS.
B. the ABS will be senior to the new bonds.
C. seniority will not apply between the new bonds and the ABS.

Hide Solution

Solution

The correct answer is C. Since the new bonds are issued by Ahbaling Industries and the ABS are issued by Ahbaling Trust, two distinct entities, seniority will not apply.

3. Investors considering the purchase of the ABS bonds will rely most on:

A. the financial health of Ahbaling Trust.
B. the financial health of Ahbaling Industries.
C. the default risk associated with collecting payments from Ahbaling customers.

Hide Solution

Solution

The correct answer is C. As long as Ahbaling's customers make the interest payments and/or principal repayments on their loans, Ahbaling Trust will be able to make cash payments to the ABS investors. The legal implication of setting up Ahbaling Trust is that investors contemplating the purchase of any ABS backed by the cash flows from the pool of Ahbaling receivables will evaluate the default risk associated with collecting the payments from the machine tool customers. The credit quality and default risk of Ahbaling Industries are no longer directly relevant.

4. Identify the *most important* reason why the ABS issued by Ahbaling Trust offers a lower interest rate than the existing Ahbaling Industries corporate bonds outstanding.

A. Ahbaling Industries' existing bonds are rated below investment grade.
B. Ahbaling Trust would not be affected if Ahbaling Industries files for bankruptcy.
C. The ABS issued by Ahbaling Trust are secured by collateral, the receivables purchased from Ahbaling Industries.

Hide Solution

Solution

The correct answer is C. A secured bond is secured by collateral and is considered less risky than an unsecured bond without collateral backing, and accordingly, has a lower credit spread than an unsecured bond. A is incorrect because the credit rating on Ahbaling Industries' existing bonds does not dictate the interest rate on the ABS issued by Ahbaling Trust. B is incorrect because even though Ahbaling Trust, as a separate legal entity, would not be affected if Ahbaling Industries files for bankruptcy, this is not the *most important* reason that the ABS require a lower interest rate.

Category
Fixed-Income Securitization

Related Questions:
Practice questions related to this topic

OPTIONAL UNTESTED SEGMENT

UNLOCKING REAL-WORLD APPLICATIONS WITH BLOOMBERG

Bloomberg is one of the main market data platforms used globally by finance professionals throughout their workflows. In this optional section, we will explore a real-world application

The Bloomberg NI STRFIN function allows you to view a live list of news stories about securitization.

> "NSE <GO> is a shortcut to the results screen of the News & Research Menu (N) function. NSE appears when you search for news on a topic, person, company, or keywords, allowing you to browse the most recently published stories on the subject and further refine the results. NI STRFIN takes you straight to news and announcements about structured finance." -Bloomberg

To explore this function, type NI STRFIN into the Bloomberg command line and press Enter or <GO>.

© 2023 Bloomberg L.P.

Please provide feedback on this Bloomberg feature.

Rate Your Confidence

Category

Fixed-Income Securitization

Related Questions:

Practice questions related to this topic

Discuss Filter

Discussion

What do you want to discuss... (required)

No messages to display

© 2025 CFA Institute. All Rights Reserved.

Rate Your Confidence

Category

Fixed-Income Securitization

Related Questions:

Practice questions related to this topic

Rate Your Confidence

Category

Fixed-Income Securitization

Related Questions:

Practice questions related to this topic

Rate Your Confidence

Category

Fixed-Income Securitization

Related Questions:

Practice questions related to this topic

Rate Your Confidence

Category

Fixed-Income Securitization

Related Questions:

Practice questions related to this topic

Rate Your Confidence

Category

Fixed-Income Securitization

Related Questions:

Practice questions related to this topic

Rate Your Confidence

Category

Fixed-Income Securitization

Related Questions:

Practice questions related to this topic